

Multiple Choice (10 marks)

1. Which of the following is not among the methods unions use to increase wages?
 - (a) Seeking to increase the demand for the union's labor
 - (b) Negotiations to obtain a wage floor
 - (c) Encouraging workers to increase their productivity
 - (d) Lobbying for higher minimum wage laws
 - (e) Promoting worker training and education
2. Which of the following is a consequence of a protective tariff on imported steel?
 - (a) Domestic steel producers lose revenue.
 - (b) Allocative efficiency is improved.
 - (c) It results in a decrease in domestic steel production.
 - (d) Income is transferred from domestic steel consumers to domestic steel producers.
 - (e) Domestic steel prices fall.
3. Theo loses his job at the public swimming pool when the pool closes for the winter. This is an example of
 - (a) natural unemployment.
 - (b) underemployment.
 - (c) discouraged worker.
 - (d) structural unemployment.
 - (e) jobless recovery.
4. According to Keynesian theory
 - (a) changes in the money supply have significant effects.
 - (b) fiscal policy should not be used to manage the economy.
 - (c) the FED should allow the money supply to grow at a constant rate.
 - (d) fiscal policy has no impact on the economy.
 - (e) the FED should decrease the money supply to combat inflation.
5. Under a pure capitalist system, would the government play a major role in the economy?
 - (a) Government intervenes only during economic crises to stabilize the market
 - (b) Government plays a minor role by enforcing contracts and property rights

- (c) No government intervention in the economy
- (d) Government provides public goods and services but does not control private enterprise
- (e) Limited government intervention primarily in defense and public safety

True / False (10 marks)

Answer True or False

- 6. True or False: Resource and product prices in the circular flow model are primarily set by government regulations and interventions.
- 7. True or False: The United States must import rice when the world price is lower than the domestic price, leading to a domestic shortage.
- 8. True or False: Regulating a monopoly to produce at the allocative efficient quantity would lead to an increase in consumer surplus in the market.
- 9. True or False: A 500 deposit with a 10 percent reserve ratio can only create a maximum of 2,500 in new money in the banking system.
- 10. True or False: In a perfectly competitive industry, average revenue equals marginal revenue for the firm.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss the implications of a capital/output ratio of 2 for annual output and analyze how this ratio would change when considering quarterly output.
- 12. Discuss the economic definition of "land" and analyze its implications, particularly focusing on renewable resources such as wind and solar energy within this context.

End of Paper